

4.9% for FY25. A one percentage point decline in inflation can lead to a one percentage point increase in real wages. This in turn can lead to a 110 basis point increase in private final consumption expenditure, Pant explains.

Recent high-frequency indicators show a mixed picture for now. Factory output as measured by the index of industrial production touched a six month high of 5.2% in November. But net GST collections grew by just 3.3% in December on a year-on-year basis to ₹1.54 lakh crore.

tration on the Indian economy, 68% of the respondents surveyed replied in the affirmative.

For the January-March 2025 quarter, companies gave a rating of 6.2 out of 10 for the overall economic situation and of 6.3 on demand conditions. The outlook is bleaker on hiring with a 4.5 rating, and the expectations on profits also turned weak with a score of 5.5 out of 10.

Weak domestic demand conditions continue to be a concern, and worries about the economy abound. As much as 43% of the respondents

what is needed now are strong structural reforms in areas like taxation and trade. "While the government has taken several measures for this, much more is required to be done," he underlines.

Not surprisingly then, businesses are pinning their hopes on the Union Budget 2025-26 to give them some relief. For 55% of the respondents, tax cuts, including reductions in the rates of goods and services tax (GST), are the top expectation from the Budget, while 19% hope for measures to promote domes-

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1 Indian companies remain cautious in their expectations from the fourth quarter

2 68% of the respondents say they are concerned about the potential impact of tariff hikes by the Trump administration

3 As many as 43% of the respondents said they are apprehensive about a significant slowdown in India's economic growth in FY25

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According to Pant, companies in the infrastructure space will continue to do well while urban-focussed FMCG companies will be impacted due to weaker urban demand. Similarly, firms catering to the lower and middle income groups will be affected by weaker demand, but companies producing high-end goods and services will continue to do well.

However, India Inc. remains cautious in its expectations from the fourth quarter. With Trump set to assume office on January 20, businesses remain watchful of how his policies will play out. To a specific question on whether they are concerned about the potential impact of tariff hikes by the Trump adminis-

said they are apprehensive about a significant slowdown in India's economic growth in FY25.

Rahul Ahluwalia, Co-founder of the think tank Foundation for Economic Development, notes that India's export performance in the past 12 years has been quite poor, and private investments have also not picked up despite several government measures. "In a low per capita income country like India, domestic consumption never fully drives demand, and export performance remains crucial. India has been unable to capture export opportunities. Barring a few companies like Apple, most large global players have not chosen to make India their export base," he says, adding that

tic manufacturing. For 16% of the respondents, the top expectation is measures to prioritise economic growth and control inflation.

While policymakers in New Delhi and analysts continue to hope for a rate cut by the RBI in the February meeting of the Monetary Policy Committee, businesses are more circumspect, and 46% believe that this will only happen in the April-June 2025 quarter and 22% expect it in the second half of 2025.

For now, the outlook for 2025 still remains optimistic, and growth could edge back to about 7% in FY26. But the possibility of fresh uncertainties cannot be dismissed. **BT**

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